



# Investment companies

Investment companies buy and sell equities, bonds, and other financial assets on behalf of their clients, and with their clients' cash. Investors buy a stake in a fund and their money is pooled to buy a range of assets.

## Investment companies and diversification

Diversified investment companies invest in a wide range of assets and in various securities (cash, bonds, and stocks) within each kind of asset, whereas non-diversified companies invest in a single industry or asset. A diversified portfolio will spread risk, and limit the impact of any market volatility.

